

## LPG Reforms in India

### Economic Reforms in India - Privatization – Role of Economic Planning Globalization – Opening up of the Indian Economy – Balance of Payments

**Liberalization Privatization Globalization:** The economy of India had undergone significant policy shifts in the beginning of the 1990s. This new model of economic reforms is commonly known as the LPG or Liberalization, Privatization and Globalization model.

#### ➤ Reasons for implementing LPG

- Large and growing fiscal imbalances. (Gross fiscal deficit rose to 12.1% of GDP in 1991)
- Growing inefficiency in the use of resources.
- Low foreign exchange reserves. (\$1.2 billion in January 1991)
- High inflation rate. (13.87% in year 1990-91)
- The low annual growth rate of Indian economy stagnated around 3.5% from 1950s to 1980s.

The economic reforms of 1991 were carried out **mainly in three directions:** -

1. We dismantled the complex regime of licenses, permits and controls.
2. We reversed the strong bias towards state ownership of means of production and proliferation of public sector enterprises in almost every sphere of economic activity.
3. We abandoned the inward-looking trade policy.

The salient features of new economic policy are liberalisation, privatisation and globalisation of the economy (LPG policy):

- (1) **Liberalization:** Simply speaking liberalization means to free to economy from the controls imposed by the Govt. Before 1991, Govt. had put many types of controls on Indian economy.

#### These were as follows:

- a) Industrial Licensing System
- b) Foreign exchange control
- c) Price control on goods
- d) Import License.

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**Due to all these controls, the economy became defective.** The entrepreneurs were unwilling to establish new industries. Corruption, undue delays and inefficiency rose due to these controls. Rate of economic growth of the economy came down. Economic reforms were introduced to reduce the restrictions imposed on the economy.

### ➤ Steps taken for Liberalization:

**The following steps have been taken for liberalization:**

- (i) **Independent determination of interest rate:** Under the policy of liberalization interest rate of the banking system will not be determined by RBI rather all Banks are independent to determine the rate of interest.
- (ii) **Increase in the investment limit of the Small-Scale Industries:** Investment limit of the small-scale industries has been **raised to Rs. 1 crore**. So that they can modernize their industry.
- (iii) **Freedom to import capital goods:** Indian industries will be free to buy **machines** and raw materials from foreign countries to expand their business.
- (iv) **Freedom for expansion and production to Industries:** Industries are free to expand and produce under the policy of liberalization. **Previously, the govt. used to fix the maximum limit of production capacity**. No industry could produce beyond that limit. Now the industry can produce freely. Also, they can produce anything depending on the demand.
- (v) **Freedom from Monopolies Act:** According to Monopolies and Restrictive Trade Practices (MRTP) Act, 1969 all those companies having assets worth Rs. 100 crore or more were called MRTP firms and were subjected to several restrictions. **Now these firms have not to obtain prior approval of the Govt. for taking investment decision.**
- (vi) **Removal of Industrial Licensing and Registration:** Previously private sector had to obtain license from Govt. for starting a new venture. In this policy private sector has been freed from licensing and other restrictions.

**Industries licensing is necessary for following industries:**

- (i) Liquor
- (ii) Cigarette
- (iii) Defence equipment
- (iv) Industrial explosives
- (v) Drugs
- (vi) Hazardous chemicals.

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(2) **Privatisation:** Simply speaking, **privatisation means permitting the private sector** to set up industries which were previously reserved for the public sector. Under this policy many PSU's were sold to private sector. In privatisation, the Govt.'s role is only reduced it does not disappear. Literally speaking, privatisation is the process of involving the private sector-in the ownership of Public Sector Units (PSU's).

**The main reason for privatization was in currency of PSU's are running in losses due to political interference.** The managers cannot work independently. Production capacity remained under-utilized. To increase competition and efficiency need of privatisation was felt.

### Step taken for Privatisation:

**The following steps are taken for privatisation:**

1. **Sale of shares:** Indian Govt. has been selling shares of PSU's to public and financial institution e.g. Govt. sold shares of Maruti Udyog Ltd.
2. **Disinvestment in PSU's:**  
The Govt. has started the process of disinvestment in those PSU's which had been running into loss. It means that Govt. has been selling out these industries to private sector. Govt. has sold enterprises worth Rs. 30,000 crores to the private sector.
3. **Minimisation of Public Sector:**  
Previously Public sector was given the importance with a view to help in industrialisation and removal of poverty. But these PSU's could not able to achieve this objective and policy of contraction of PSU's was followed under new economic reforms. **Number of industries reserved for public sector was reduces from 17 to 4.**
  - a) Transport and railway
  - b) Mining of atomic minerals
  - c) Atomic energy
  - d) Defence equipment (currently private sector permitted with certain conditions)
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### (3) Globalization:

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Literally speaking Globalization means to make Global or worldwide, otherwise taking into consideration the whole world. Broadly speaking, Globalization means **the establishment of relations of the economy with world economy in** regard to foreign investment, trade, production and financial matters.

The **concept was popularized by the Organization of Economic Cooperation and Development (OECD) in the mid-1980s** again after the Wars. In its earlier diabatization, the organization had defined globalization in a very narrow and business-like sense—‘any cross-border investment by an OECD company outside its country of origin for its benefit is globalization’. After this summit of the OECD, proposals for replacing the GATT by the WTO were pushed by the developed economies of the world, better known as the starting of the Uruguay Round of GATT deliberations which ends in Marrakesh (1994) with the birth of WTO.

**Steps taken for Globalization:** Following steps are taken for Globalization:

- (i) **Reduction in tariffs:** Custom duties and tariffs imposed on imports and exports are reduced gradually just to make India economy internationally beneficial.
- (ii) **Long term Trade Policy:** Forcing trade policy was enforced for longer duration.

**Main features of the policy are:**

- a) Liberal policy
- b) All controls on foreign trade have been removed
- c) Open competition has been encouraged.
- (iii) **Partial Convertibility:** Partial convertibility can be defined as to sell foreign currency like dollar (\$) or pound, for foreign transaction at a price determined by the market. Partial convertibility of Indian rupee was allowed to achieve the objectives of globalisation.  
This convertibility stood valid for following transaction:
  - a) Remittances to meet family expenses
  - b) Payment of interest
  - c) Import and export of goods and services.
- (iv) **Increase in Equity Limit of Foreign Investment:** Equity limit of foreign capital investment has been raised from 40% to 100% percent. In 47 high priority industries foreign direct investment (FDI) to the extent of 100% will be allowed without any restriction. In this regard Foreign Exchange Management Act (FEMA) will be enforced.

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